



CA INTER MAY/SEP 26/JAN 27

GST

**TDS/ TCS/ SUPPLY
UNDER GST**

ONE SHOT



Chapter 14: TDS TCS under GST

Section 51 [Tax deduction at source (TDS)]

1. Following Person Shall Deduct Tax u/s 51

- ✓ Central Govt./State Govt. → Department/Establishment
- ✓ Local Authority
- ✓ Government Agencies
- ✓ Public Sector Undertakings
- ✓ Society Established by CG/SG under Society Act
- ✓ An Authority/Board or other body
 - Setup by an act of Parliament/State legislature
 - Where 51% or more equity/control with Govt
- ✓ Any Registered Person receiving supply of Metal Scrap from other RP

2. When to Deduct TDS?

Supply of taxable Goods & or Services under a Contract exceeds Rs. 2,50,000 excluding GST. Further TDS will be deducted even if the supplier is a composition Tax Payer.

3. TDS Rate

1% (CGST) + 1% (SGST) or 2% (IGST) on payment made or credited to supplier for taxable goods & services. [Value shall be taken for deduction of TDS, exclusive of GST shown in Invoices]

4. When not Required to Deduct TDS?

- ✓ Value of taxable Supplies in a Contract Value ≤ Rs 2,50,000.
- ✓ Contract value > Rs 2,50,000 for both taxable as well as exempt supply, but the value of taxable supply under contract ≤ Rs 2,50,000.
- ✓ Exempt Supplies.
- ✓ Supply Under RCM
- ✓ Payment made to Unregistered Supplier.
- ✓ Goods / Services Supplied between person notified to deduct TDS, except in case of RP receiving metal scrap from other RP.
- ✓ Location of Supplier & Place of Supply (In Same State & But Recipient's place in other State)



In Such Case TDS is deduct in form of UP- State tax that would not be possible to be deducted by Recipient in Punjab. Hence TDS N.A. on Such transaction.

Analysis

Location Of Supplier	Place Of Supply	Location Of Recipient	TDS u/s 51
Uttar Pradesh	Uttar Pradesh	Uttar Pradesh	Yes
Delhi	Uttar Pradesh	Uttar Pradesh	Yes
Delhi	Delhi	Uttar Pradesh	No
Chandigarh	Chandigarh	Chandigarh	Yes
Chandigarh	Chandigarh	Ladakh	No
Chandigarh	Ladakh	Ladakh	Yes

5. Other Points

- ✓ Deductor Shall Deposit TDS Deducted by 10th of Succeeding month.
- ✓ TDS Certificate in form GSTR-7A shall be provided to deductee.
- ✓ TDS deducted shall reflect in Cash ledger of deductee.
- ✓ Failure to Deposit TDS- Interest @18% & Penalty.

Section 52 [Tax Collected at source (TCS)]

1. Who shall collect TCS

- ✓ Every E-Commerce Operator (Not an agent)
- ✓ Shall collect TCS from the Net Amount collected by ECO.

2. TCS Rate.

0.25% (CGST) + 0.25% (SGST) or 0.5% (IGST) on Net Value of taxable Supplies.

3. Net Value = Value of G/S Supplied - Returned Supply

4. Eco Obligation

- Eco Shall File Statement in form GSTR-8 & Deposit TCS within 10 days from end of month
- Eco Shall also file Annual Statement GSTR 9-B before 31st Dec following end of FY Detailing
 - Outward Supplies of G/S Including returns made
 - Amount collected as TCS

5. TCS Not applicable in following cases

- a. Supplies Own Product through website hosted by him
- b. Supplies Different Vendor Product & amount collected by Vendor Only
- c. Supply of Services notified under section 9(5)
- d. Exempt Supplies
- e. Recipient Required to pay tax on RCM.
- f. Supply of Services by Supplier not liable to register.

Clarifications

1. Clarification on TCS liability in case of multiple ECOs in one transaction

In the case of the ONDC Network (Open Network for Digital Commerce) there can be multiple ECOs in a single transaction - one providing an interface to the buyer and the other providing an interface to the seller.

Issue 1: In a situation where multiple ECOs are involved in a single transaction of supply of goods or services or both through ECO platform and where the supplier-side ECO himself is not the supplier, who is liable for compliances of section 52?



Clarification: The compliances u/s 52, including collection of TCS, is to be done by the **supplier-side ECO** who finally releases the payment to the supplier for a particular supply made by the said supplier through him.

Issue 2: What if Supplier-side ECO is himself the supplier of the said supply, who is liable for compliances u/s 52 including collection of TCS?

Clarification: In such a situation, TCS is to be collected by the **Buyer-side ECO**



while making payment to the supplier for the particular supply being made through it.

Other Provisions Related To TCS

1. Unregistered persons with AATO up to threshold limit permitted to supply goods through an ECO.

Person not liable for registration u/s 22 shall be allowed to make supply Goods through ECO subject to following conditions:

1. Restricted from making **inter-State supply of goods**;
2. Restricted from making supply of goods through ECO in more than one State/UT;
3. Must be having PAN
4. Before making any supply of goods through ECO, declare on the common portal:
 - a. PAN
 - b. address of business and
 - c. State/UT in which such persons seek to make such supply.
5. EN have been granted on the common portal on successful validation of the PAN declared above.
6. such persons shall not be granted **more than one enrolment number** in a State/UT.
7. no supply of goods shall be made by such persons through ECO unless such persons have been granted EN on the common portal.

#EN = Enrolment Number

Obligations Of ECO where URP makes supply through it.

1. ECO shall allow the supply of goods through it **by URP** only if EN has been allotted.

2. ECO shall not collect tax at source under section 52.
3. ECO shall furnish the details of supplies of goods made through it in Form GSTR-8.

Where multiple ECOs are involved in a single supply of goods through ECO platform, “ECO” shall mean the ECO who finally releases the payment to the said person for the said supply made by the said person through him.

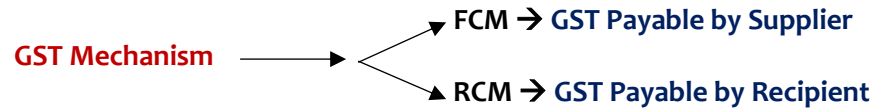
Special procedure to be followed by ECOs in respect of supplies of goods through them by composition taxpayers

- a. The ECO shall not allow any inter-State supply of goods through it by the said person.
- b. The ECO shall collect TCS.
- c. The ECO shall furnish the details of supplies of goods made through it in Form GSTR-8.

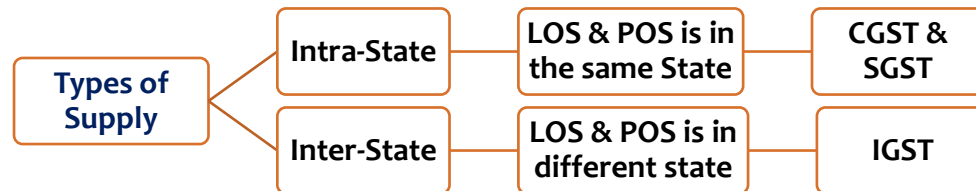
Chapter 2: Supply under GST

Taxable Event under GST → Supply of G/S/ Both

GST is payable by **Taxable Person** when G/S supplied **within Taxable Territory**



Types of Supply

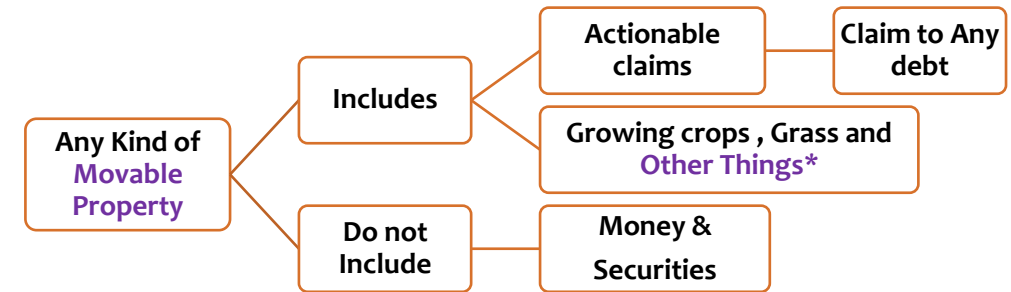


#LOS = Location of Supplier

#POS = Place of Supply

Exempt Supply	• Covered under GST but Government Exemption
Non-Taxable Supply	• Supplies Not covered under GST • E.g. Alcoholic liquor + HP-MAN
Zero-Rated Supply	• Exports or Supplies to SEZ units
Nil Rated Supply	• Covered under GST with Nil Rate
Taxable Supply	• All other supplies within Taxable territory

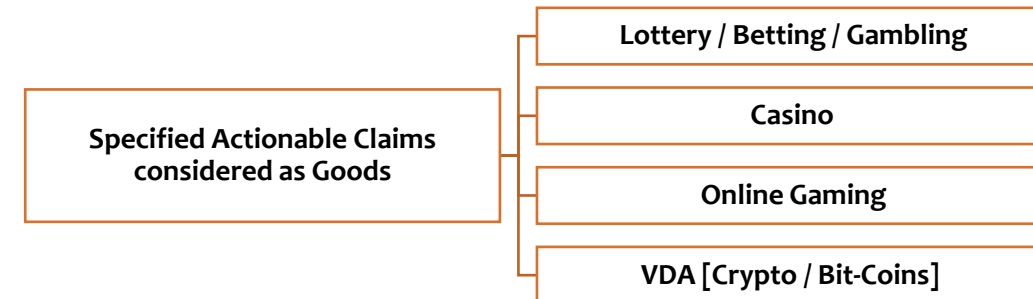
Meaning of Goods



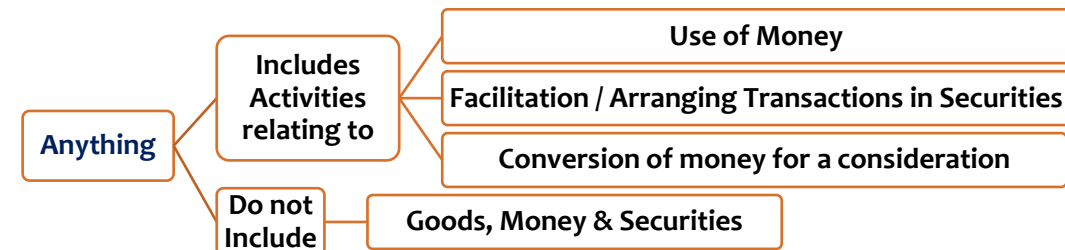
Other Things*

It Includes things **attached to or forming part of the land** which are agreed to be severed **before supply or under a contract of supply**

Immovable Property → **Not considered** as G/S



Meaning of Services



General Meaning of Supply [Section 7(1)(a)]

- Includes **all forms** of supply of G/S
- When they are for consideration [*Something in return whether cash / kind*]
- In the Course or Furtherance of business [*Business Transaction*]

Supply includes
sale, transfer,
barter, exchange,
license, rental,
lease and disposal



for
consideration



in the course
or
furtherance of
business

Section 7(1)(aa)

Activities or transactions between **an association, club or similar entities** and its **members** constituents as 'supply'.

Note: members and the entity shall be deemed to be two distinct persons

Example:

- Resident Welfare Association (RWA) of Sanskriti Society supplies air-conditioners to its members at a concessional price.*
- A RWA collects maintenance charges from its members for services provided.*

Section 7(1)(b)

Supply = Import of Service + Consideration Paid + ~~in course or furtherance of business~~

#Import of Service for Personal Purpose → **Exempt** under GST

Section 7(1)(c) [Transactions covered under Schedule I]

Supply = Transaction in course or furtherance of business + ~~Consideration Paid~~

Schedule I Transactions:**Transaction 01**

Supply = Permanent Transfer of business asset + w/o consideration + ITC availed

Example: Infosys limited upgraded their 1000 Laptops and donated their old laptops (ITC Claimed) to the Government Schools. In this case, such donation is treated as supply as per Schedule I.

**Transaction 02**

Supply = Supply b/w related or distinct person [**Registered under same PAN**] + in the course or furtherance of business + w/o consideration

Example: Free supplies to related persons, stock transfers to a unit outside the State/a different business vertical, etc. will be reckoned as supplies.

Meaning of Related Persons:

- ✓ Spouse and children → **always related**
- ✓ Parents, Grandparents & siblings → **only if dependent**
- ✓ Officers or directors of another business
- ✓ Employer-Employee relationship
- ✓ Partners of Firm
- ✓ Members of same family
- ✓ One person **controls** another
- ✓ Any person holds **twenty-five per cent or more** of shares of both of them

Meaning of Distinct Persons:

A person who has obtained/is required to obtain **more than one registration**, whether in one State/UT or more than one State/UT shall, in respect of each such registration, be treated as **distinct persons**

Transaction 03 & 04

Supply = Supply b/w Principal & Agent + w/o consideration

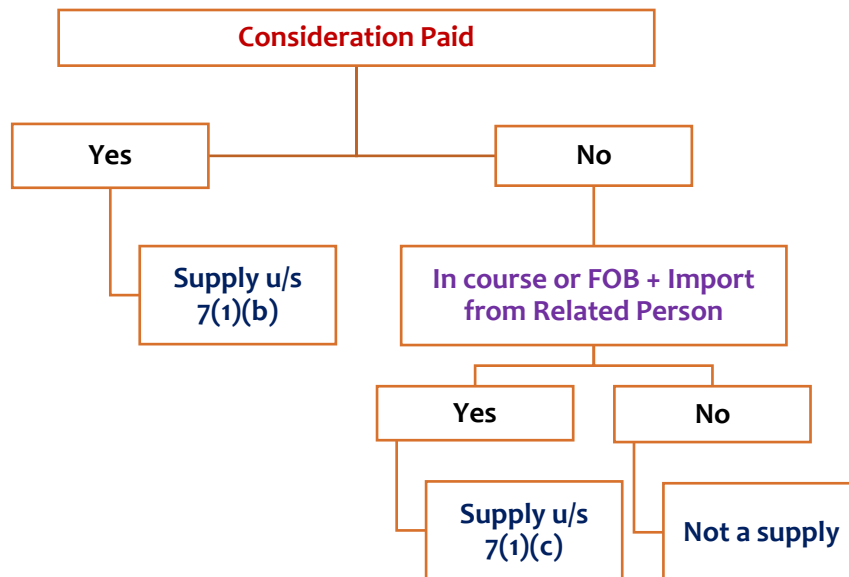
Agent = Person having

- Right to receive title of Goods [Invoice made in the name of Agent by Principal]*
- Right to Pass title of Goods [Invoice prepared by Agent for customer]*



Transaction 05

Supply = Import of Service + From related person or own establishment o/s India + In the course or furtherance of business + w/o consideration

**Section 7(1A) [Classification of supply of G/S]**

Goods	a) Title Transfer (Immediate/Future) = SOG b) Right to use = SOS
Land or Building	a) Title Transfer = outside ambit of GST b) Right to use (Rent/Lease/Tenancy) = SOS
Job Work	SOS
Business Asset	a) Transfer = SOG b) Put to use for private purpose = SOS c) Ceases to be taxable person = Deemed supply immediately before such event Exceptions of point c : a) Business transferred as Going concern b) Appointment of Personal Representative
Renting of L/B	SOS

Construction of building / complex	SOS if whole or part consideration received before COC or its first occupation whichever is earlier
Permitting use of IPR	SOS
Software	General Software + online download = SOS General Software + offline purchase = SOG Customised Software = Always SOS
Agreeing to obligation (There is agreement)	
Refrain from an act	SOS Ex: Non-compete Fees
To tolerate an act	SOS Ex: Tolerating late delivery of Goods
To do an act	SOS Ex: Cancellation Charge
Works contract	SOS.
Restaurant	SOS.

Section 7(2) + Schedule III [Transactions outside ambit of GST – Negative List]

- Service by ER to EE as per contract [No GST on salary]
#Benefits not as per contract shall be liable for GST as ER & EE are Related Person
- Gift by ER to EE up to Rs. 50,000 during the FY
#if Exceeds Rs. 50,000 = Entire amount shall be Taxable
- Services of Court / Tribunal
- Services of Neta [MP, MLA, etc.]
- Sale of land and building
- Actionable claims except 6 claims [Refer meaning of Goods Section]
- Services of Funeral, burial, mortuary & Transport of deceased [Marne wale se NO GST]
- Alcoholic Liquor License [Other license taxable under RCM]
- Apportioned premium to co-insurer by lead insurer for joint supply of insurance services provided lead insurer paid full GST on entire insurance premium paid by the insured
- Ceding commission or re-insurance commission deducted by insurer from re-insurance premium paid by the insurer to re-insurer, provided re-insurer paid the GST on Gross reinsurance premium payable by insurer.
- Shares held in a subsidiary company by holding company



Section 8 [Bundled Supply]

Bundled Supply	
Composite Supply	Mixed Supply
Bundling in the ordinary course of business [Natural Bundle]	Bundling not in ordinary course of business [Not a natural bundle]
GST Rate = Rate applicable on Principle Supply	GST Rate = Rate of G/S carry higher GST Rate
Ex: Mobile Phone + Charger [Principle supply is Mobile]	Ex: Gift Baskets

#More than 1 supply made together = Neither composite nor mixed supply

Clarifications

1. Printing services

If Main Supply is Content = SOS

Ex: Restaurant Menu, Invitation Card, etc.

If Ancillary / Customization option is availed = SOG

Ex: Envelopes



#jaha par bina content ke material ready nahi ho sakta wala SOS applicable hoga

Ex: Books, Pamphlet, Wedding Cards, etc.

#jaha par brandname / Logo / Trademark print karwana ancillary hai wala SOG applicable hoga

Ex: Cartoon Boxes, Tissue paper, Napkins, T-Shirt with Logo of Co., etc.

2. Retreading of Tyres [Pasting new grip on old tyres to make it new]

Selling of old tyre by supplier after retreading = SOG

Supplier paste new grip on old tyre belongs to recipient = SOS



3. Art work sent by artist to gallery for Exhibition

Exhibition of art work = SOS [Invoice for commission charged]

if Art Gallery acts as an Agent = Section 7(1)(c) applicable [Refer Transaction 03 & 04]

4. Tenancy Rights [Pagadi]

Meaning: Arrangement where Landlord sells Tenancy rights to Tenant for lump sum consideration & also charges periodical rent from tenant

- ✓ The transfer of tenancy rights cannot be treated as sale of land/ building.
- ✓ Transfer of tenancy rights to a new tenant against consideration in the form of tenancy premium is taxable
- ✓ Services provided by outgoing tenant by way of surrendering the tenancy rights against consideration in the form of tenancy premium is liable to GST.

5. Donations

If Donation is Philanthropic + Not leads to any advertisement of Donor = No GST

If Donation is not Philanthropic + leads to advertisement of Donor = SOS

6. Interstate movement of various modes of Conveyance b/w distinct person

#Movement of conveyance b/w distinct person for Transport service of Goods / Passenger is not a supply
[Ex: Movement of Trains from one station to another]



#Movement of conveyance to Distinct Person for further supply = SOS

#Movement of Conveyance for Repair and maintenance = No GST on Movement But GST applicable on Repair services

7. Services of DCA [Guarantee of Payment Recovery i.e. bad debts burden met by DCA]

Issue 01: Agent includes DCA?

Yes if DCA has right to receive or pass the title [Refer section 7(1)(c) Transaction 03 & 04 read with Schedule I]



Issue 02: DCA is **not an agent** and extends **short term loans** to customer & charges interest. Whether interest included in Value of G/S supplied by principal?

No as loan is granted by DCA to customer in his individual capacity

Issue 03: DCA is agent & **makes payment to principal** on behalf of customer & DCA **recovers interest** from customer along with VOS for delayed payment? Delayed payment charges recovered by DCA shall be included in VOS made by DCA to customer

8. Buy One get one free offer

- ✓ It can at best be treated as supplying **two goods for the price of one**.
- ✓ Taxability of such supply will be dependent upon as to whether the supply is a **composite supply** or a **mixed supply** and the rate of tax shall be determined accordingly.

9. No Claim Bonus [Bonus on renewal of insurance for not claiming old insurance]

It is not a SOS as this facility is optional & not under obligation

10. Food supplied in Cinema Halls

If Cinema Ticket + Foods supplied together for **single price** = Treat as composite supply

Principle supply = **Supply of Cinema Exhibition**

If Cinema Ticket+ Foods acquired separately = Treat as SOS [**Restaurant Service**]

11. Liquidated Damages [consideration received for breach of contract]

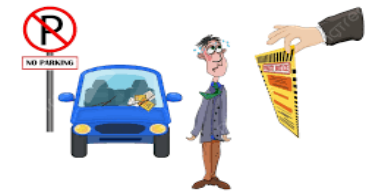
It is not taxable as no one desires **breach of contract** & there is no agreement b/w parties to accept breach of contract

12. Cheque Dishonour charges

It is not taxable as recipient does not desires **dishonour of cheque** & there is **no agreement** b/w recipient & payer to accept such dishonour

13. Penalty for Violation of Law

It is not taxable as such fines / penalties are levied to discourage **violation of law** & **not for tolerating** the violation of law



14. Cancellation Charges

- ✓ Cancellation fee can be considered as the charges for the costs involved in **making arrangements** for the intended supply
- ✓ The facilitation service of allowing cancellation against payment made is also a **natural part of this bundled service**.
- ✓ Hence the same will be assessed as that of the **principal supply**.

15. Late Payment / Surcharge / Fees

- ✓ The facility of accepting late payments with interest or late payment fee is a facility granted by supplier **naturally bundled** with principal supply.
- ✓ Hence this **ancillary supply naturally bundled** should be assessed at the same rate as that of principal supply.

16. ER forfeited salary or payment of bond where EE leaves employment before agreed period

It is not taxable as ER never desires that EE leaves organization before agreed period and such Bond conditions are entered to **discourage** non-serious EEs to apply for Job



17. Fixed Charges for Power

- ✓ Price charged for electricity has **two components** - minimum fixed charge & variable per unit charge.
- ✓ Minimum fixed charge which remains at all situations does not mean that it is a charge **for tolerating act** of non-consumption of minimum threshold.



- ✓ Both are charged for sale of electricity and thus not taxable as sale of electricity is exempt from GST.

Clarification on liability to pay GST in respect of WRR services during warranty period.

#WRR = *warranty-related replacements or repairs*

When a manufacturer provides WRR for goods **without charging** additional consideration, is GST applicable?

- ✓ No as the value of the original supply already includes the cost of warranty services, and GST would have been paid on it at the time of supply.
- ✓ However, if the manufacturer charges **any extra amount** for replacements or services, GST is payable on that additional amount.



Does a distributor **need to pay GST** when providing WRR on behalf of the manufacturer without charging the customer?

No. However, if the distributor charges any **additional consideration** from the customer, GST is payable on that amount.

Does the replacement of parts under warranty involve a taxable supply between the distributor and manufacturer?

There can be **4 Scenarios** in this case:

1. Distributor Charges Manufacturer

The distributor replaces parts from their stock or buys them from a third party and issues a tax invoice to the **manufacturer for reimbursement**. GST is payable on this supply by the distributor to the manufacturer.

Example:

A distributor replaces a refrigerator compressor using their stock and invoices the manufacturer ₹5,000. GST is payable on ₹5,000 by the distributor.

2. Manufacturer Supplies Parts to Distributor Without Charge

The distributor requests the manufacturer **for parts to replace** under warranty, and the manufacturer provides the parts at no charge. No GST is payable on the supply of parts by the manufacturer.

Example:

A distributor requests a faulty motor from the manufacturer, which is provided free of cost for warranty replacement. No GST is applicable.



3. Credit Note Issued by Manufacturer

The distributor replaces parts using stock received earlier from the manufacturer. The manufacturer **issues a credit note** for the replaced parts, adjusting tax liability.

Example:

A distributor replaces a fan blade from their stock, which was earlier purchased from the manufacturer. The manufacturer issues a credit note for ₹2,000, and tax liability is adjusted.

4. Replenishment of Distributor's Stock

The distributor replaces parts using their stock and later raises a requisition to the manufacturer. The manufacturer **replenishes the stock** via a delivery challan **without charging consideration**. No GST is payable on this replenishment.



Example:

A distributor replaces a motor from their stock and requests replenishment. The manufacturer provides the replacement motor via a delivery challan at no charge. No GST is applicable.



If a distributor provides WRR but bills the manufacturer for these services via **tax invoice or debit note**, is GST applicable on this activity?

The distributor is supplying repair services to the manufacturer, who is the recipient. Therefore, GST is payable by the distributor on the services provided to the manufacturer.

Sometimes companies provide offers of **Extended warranty** to the customers which can be availed at the time of original supply or just before the expiry of the **standard warranty period**. Whether GST would be payable in both the cases?

Clarification:

1. At the time of original supply:

- ✓ If extended warranty is offered by the same supplier as the goods, it is part of the composite supply, with the principal supply being the goods. GST is calculated on the total value, including the **extended warranty**.
- ✓ If provided by a different supplier, it is a separate supply of services, taxable **under GST as a distinct service**.



2. After original supply:

Extended warranty is treated as a distinct supply of services, separate from the original supply of goods, and GST is payable as **applicable on the service**.





THANK
YOU